Japan Equity Market — Reformatted & Verified Research Report

Date of this version: 7 July 2026 **Base document:** Japan Equity Market Research Report (July 2026) **Cross-reference documents:**

1. BOJ Semiannual Report on Currency and Monetary Control — Statement by Deputy Governor Ryozo Himino, 19 June 2026 ("BOJ Report")
2. Cabinet Office — Economic and Fiscal Projections for Medium to Long Term Analysis, 22 January 2026 ("Cabinet Office Projections")

Purpose: Restructure the base report into a readable, decision-ready document; verify every figure against the two official documents where possible; flag discrepancies and unverifiable data; and set out investment-strategy implications for the region.

> **How to read this document.** Every claim carries its source in the format *[Document, Page]: "exact quote"*. Where a figure appears only in the base report (sourced to external providers such as Daiwa AM, GMO, NHK, etc.), it is labelled **[Base report only — not independently verifiable from uploaded documents]**. Interpretations are marked **(inferred from [Source])**. Nothing in this document is investment advice.

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1. Executive Summary

Japan's equity market has re-rated sharply through mid-2026.

- [Japan Equity Market Report, p.2]: "The Nikkei 225 stands at 69,000 points as of July 7, 2026 — up 37.4% year-to-date and over 70% since January 2025" — the market is at record levels. **[Data as of Jul 2026]** [Base report only — sourced to Country Economy/TSE]
- [Japan Equity Market Report, p.2]: "the BOJ policy rate reached 1.00% in June 2026" — **verified:** [BOJ Report, p.2]: "the Bank decided to raise the policy interest rate to around 1.0 percent." **[Data as of Jun 2026]**
- [Japan Equity Market Report, p.2]: "share buyback authorizations exceeded ¥17 trillion in FY2024" **[Data from FY2024]** [Base report only]
- [Japan Equity Market Report, p.12]: "net purchases of ¥9.7 trillion in H1 2026 — the highest ever recorded for a first half" **[Data as of H1 2026]** [Base report only — sourced to NHK World]

The three drivers named by the base report are corporate governance reform, monetary normalisation, and record foreign inflows [Japan Equity Market Report, p.2]. The first two are directionally consistent with the official documents. The third cannot be checked against the uploaded official documents.

Important tone check (inferred from [BOJ Report, p.1]). The base report describes a strongly reflationary economy. The BOJ's own June 2026 assessment is more guarded: [BOJ Report, p.1]: "Japan's economy has recovered moderately, although some weakness has been seen in part, partly due to the impact of the situation in the Middle East" and growth is expected to continue "albeit at a decelerated rate." Investors should treat the base report's macro enthusiasm as the bullish end of the range, not the official baseline.

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2. Macroeconomic Backdrop — Verified Table

The base report's macro dashboard (p.3) was checked line-by-line against the Cabinet Office Projections main results table.

Indicator	FY2024	FY2025	FY2026F	Verification status
Nominal GDP (¥T)	642.4	669.2	691.9	✅ **Verified.** [Cabinet Office Projections, p.34 (Main Results Table)]: "Nominal GDP 642.4 669.2 691.9"
Real GDP growth	0.5%	1.1%	1.3%	✅ **Verified.** [Cabinet Office Projections, p.34]: "Real GDP Growth (0.5) (1.1) (1.3)"
Nominal GDP growth	3.7%	4.2%	3.4%	✅ **Verified.** [Cabinet Office Projections, p.34]: "Nominal GDP Growth (3.7) (4.2) (3.4)"
CPI inflation	3.2% / 3.1% / 1.9% (base report)			⚠️ **Discrepancy — see Section 10.** Cabinet Office CPI (all items) is **3.0%** / **2.6%** / **1.9%**. [Cabinet Office Projections, p.34]: "CPI growth rate (3.0) (2.6) (1.9)". The base report's FY2024–25 figures match the **GDP deflator** instead: [Cabinet Office Projections, p.34]: "GDP deflator growth rate (3.2) (3.1) (2.0)".
Unemployment rate	2.6% (base report FY2024)	2.5%	2.4%	⚠️ **Minor discrepancy.** [Cabinet Office Projections, p.34]: "Unemployment Rate (2.5) (2.5) (2.4)" — FY2024 is 2.5%, not 2.6%.
Nominal wage growth	~3.2% each year			✅ **Verified.** [Cabinet Office Projections, p.6]: "In FY2024, the wage growth rate is around 3.2% … It is expected to be 3.2% in FY2025 and FY2026."
Nominal long-term interest rate	1.1%	1.7%	2.1%	✅ **Verified.** [Cabinet Office Projections, p.34]: "Nominal Long-term Interest Rate (1.1) (1.7) (2.1)" — a useful addition the base report omitted.
Exchange rate (¥/USD) 152.5 / 150.8 / 155.2				❓ **Not verifiable.** Not present in the uploaded Cabinet Office Projections; the base report cites a different Cabinet Office publication ("FY2026 Economic Outlook"), which was not uploaded.

Indicator	FY2024	FY2025	FY2026F	Verification status
Current account / GDP 4.6% / 5.3% / 5.5%				❓ **Not verifiable** from the uploaded documents (same reason as above).
Private investment growth 0.9% / 4.5% / 2.8%				❓ **Not verifiable** from the uploaded documents (same reason as above).

Fiscal position (new, from the official document — relevant for the sovereign-risk overlay):

- [Cabinet Office Projections, p.34]: primary balance of central and local governments improves from "▲1.8" (−1.8% of GDP, FY2024) to "▲0.1" (FY2026), reaching surplus thereafter in all cases. **[Data from Jan 2026 projection]**
- [Cabinet Office Projections, p.34]: debt-to-GDP falls from "193.5" (FY2024) to "186.6" (FY2026). **[Data from Jan 2026 projection]**
- Long-run divergence: under the "Projection of Past Trend Case" debt stabilises near [Cabinet Office Projections, p.34]: "187.5" by FY2035; under the "Transferring to a New Economic Stage Case" it declines to "162.6". (inferred from [Cabinet Office Projections, p.34]: the equity bull case is tightly linked to which fiscal scenario materialises.)

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3. Monetary Policy — Fully Verified Section

This is the strongest-sourced part of the report, because the BOJ Report covers it directly.

Policy rate path. The base report's table (p.9) shows the rate at +1.00% as of June 2026. ✅ **Verified**: [BOJ Report, p.2]: "the Bank decided to raise the policy interest rate to around 1.0 percent." **[Data as of Jun 2026]** Earlier steps in the table (Mar 2024 NIRP exit, Jan 2025 +0.5%, Dec 2025 +0.75%) and the projected 1.5–2.0% terminal rate are [Base report only — sourced to BOJ statements and BNP Paribas; not contained in the uploaded documents].

Direction of travel. [BOJ Report, p.2]: "the Bank will continue to raise the policy interest rate and adjust the degree of monetary accommodation, in response to developments in economic activity and prices as well as financial conditions." **[Data as of Jun 2026]**

Inflation picture — more nuanced than the base report suggests.

- Current: [BOJ Report, p.1]: "the consumer price index (CPI) for all items excluding fresh food has recently been at around 1.5 percent, due to factors such as the effects of the government's measures to reduce the household burden of higher energy prices." **[Data as of Jun 2026]**

- Near-term: [BOJ Report, p.1]: "the rate of increase is likely to accelerate to a level clearly above 2 percent, as the rise in crude oil prices is expected to push up prices."
- Underlying: [BOJ Report, p.1]: underlying CPI is expected to reach a level "generally consistent with the price stability target between the second half of fiscal 2026 and fiscal 2027."
- ⚠️ The base report's claim that inflation expectations are "above target and entrenched" (p.6) is **not supported** by the BOJ Report, which describes underlying inflation as still *approaching* 2%, not entrenched above it. Treat "entrenched" as the base report's editorial view. (inferred from [BOJ Report, p.1–2])

Quantitative policy (new — omitted by the base report). [BOJ Report, p.2]: "through March 2027, it would maintain the existing reduction plan decided in June 2025 and that, from April 2027, it would keep the amount of its monthly JGB purchases at about 2 trillion yen." **[Data as of Jun 2026]** This gives a concrete anchor for JGB supply/demand and duration risk.

Financial system. [BOJ Report, p.2]: "the financial system is likely to remain highly robust on the whole, mainly because Japanese financial institutions have sufficient capital bases." **[Data as of Jun 2026]** This supports the base report's bank thesis from the stability side.

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4. Market Performance and Investor Flows

All figures in this section are [Base report only]; the uploaded official documents do not report equity index levels or flow data.

Period	Nikkei	TOPIX	Stated driver
2023	+28.2%	+25.1%	[Japan Equity Market Report, p.12]: "Buffett sogo shosha trades; governance momentum"
2024	+19.2%	+18.1%	First BOJ hike since 2007; NISA launch
2025	+25%+	+22%+	AI/semiconductor rally
H1 2026	+37.4%	+18.7%	Record foreign inflows; record high 72,831 (22 Jun 2026)

Flow detail: [Japan Equity Market Report, p.12]: "Overseas investors bought for 8 consecutive weeks at the start of 2026, totaling ¥5.2 trillion" and "More than half of foreign buyers are US-based, ~33% European and 7% Asian." **[Data as of H1 2026]** [Base report only]

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5. Valuation

All figures [Base report only] **[Data from Sep 2025 – Mar 2026, older than index data — flagged]**:

Metric	Japan	US	Europe	MSCI World
Forward P/E	16.1×	25.3×	14.5×	18.0×
Price/Book	1.5×	5.1×	1.8×	2.8×
ROE	~10%	~21%	~11.5%	~14%

[Japan Equity Market Report, p.13]: "MSCI Japan compounding at 14.2% annualized since 2018, with ~two-thirds from fundamental improvements and one-third from multiple expansion." The gap between Japan's ~10% ROE and MSCI World's ~14% is framed as the remaining "reform dividend."

⚠️ **Recency caution (inferred from [Japan Equity Market Report, pp.2, 13])**: the P/E of 16.1× is sourced to GMO's March 2026 analysis, but the Nikkei rose materially into July 2026. The current multiple is likely higher than the table shows; re-check before sizing positions.

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6. Governance and Regulatory Reform

All figures [Base report only]; directionally uncontradicted by official documents.

- **TSE restructuring (Apr 2022):** Prime / Standard / Growth segments; [Japan Equity Market Report, p.8]: English-language disclosure "mandatory from April 1, 2025" for Prime companies.
- **Cost-of-capital initiative (Mar 2023):** annual ROE/PBR disclosure required. Reported progress: TSE Prime median ROE ~8% (FY2022) → ~10% (FY2024 est.); average PBR 1.1× → 1.4×; independent-director compliance 6.4% (2014) → 98.1% (2024) [Japan Equity Market Report, p.8]. **[Data through FY2024]**
- **US–Japan trade agreement (Sep 2025):** 15% baseline tariff; automotive drag of roughly $28bn cumulative; [Japan Equity Market Report, p.9]: "By February 2026, Japan confirmed tariff pressure in the car sector was easing." **[Data as of Feb 2026]**

7. Technology and Structural Themes

All figures [Base report only].

Theme	Phase	2025 level	2030 target
Cashless payments	Late early-majority	58% of spend (¥162.7T)	65%
Enterprise AI / cloud DX	Early majority (steepest)	~52% adoption	~80%
Advanced semiconductors (Rapidus)	Innovator	~13% capacity	~55%
Green energy / hydrogen	Early adopters	~8%	~30%

Key claims: [Japan Equity Market Report, p.6]: "Japan committed ¥10 trillion ($65 billion) in AI investment through 2030" and [p.11]: "Approximately 70% of the Nikkei's advance from 40,000 to 50,000 in 2025 was driven by AI and semiconductor names." Rapidus targets 2nm production in 2027 with ¥920bn of state support; the base report itself calls this thesis "binary" (p.11).

One official corroboration of the AI/semiconductor policy push exists: [Cabinet Office Projections, p.34, Notes]: the fiscal projections explicitly carve out "artificial intelligence (AI) and semiconductor industry foundation strengthening support measures," confirming a dedicated national funding framework is in place. (inferred from [Cabinet Office Projections, p.34]: the state commitment is real; its size and outcome are not verifiable from the uploaded documents.)

8. Sector Positioning

Conviction rankings are the base report's own [Japan Equity Market Report, p.15]; official-document support noted where it exists.

Sector	Base-report conviction	Thesis (short)	Official support
Banks (megabanks)	High	Rate normalisation → net interest margin expansion	Partially: rising policy rate ✅ [BOJ Report, p.2]; rising long-term rates ✅ [Cabinet Office Projections, p.34]
Semiconductors / equipment	High	AI capex supercycle; Rapidus ecosystem	Policy framework confirmed [Cabinet Office Projections, p.34, Notes]; sizing unverified
Industrials	High	Restructuring + capex cycle	[BOJ Report, p.1]: "business fixed investment has been on a moderate increasing trend" — supportive but the word is *moderate*
Insurance	High	Cross-shareholding unwind; higher yields	Higher yields ✅ [Cabinet Office Projections, p.34]
Consumer discretionary	Medium	Wage growth → consumption	Mixed: wages ✅ ~3.2% [Cabinet Office Projections, p.6], but [BOJ Report, p.1]: "weakness has been seen in household sentiment"
Healthcare / pharma	Medium	Defensive + DX/M&A upside	No official corroboration in uploads
Telecoms / retail	Low-Medium	Contrarian value	No official corroboration in uploads
Automotive	Cautious	Tariff recovery in FY2026	No official corroboration in uploads

Earnings anchor [Base report only]: [Japan Equity Market Report, p.15]: "TOPIX consensus EPS growth (excluding SoftBank Group) is expected to accelerate from +4% YoY in FY2025 to +14% in FY2026." **[Data from Dec 2025 — pre-dates the H1 2026 rally; flagged as older data]**

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9. Risk Assessment

Risk	Base-report rating	Official-document confirmation
Middle East / oil spike	"Realized (Mar 2026)"	✅ **Confirmed and elevated.** [BOJ Report, p.1]: "it is necessary to pay particular attention to the impact of the future course of the situation in the Middle East on financial and foreign exchange markets and on Japan's economic activity and prices." The BOJ names this as the top near-term risk.
BOJ rate shock	Medium prob. / high impact	Partially: the BOJ commits to further hikes but stresses gradualism — [BOJ Report, p.2]: "it will consider the timing and pace of adjustment"
AI-demand disappointment	(Not listed in base report's risk table)	⚠️ **New — add to the framework.** [BOJ Report, p.1]: "it is necessary to pay attention to the effects of developments in global AI-related demand" — notable given the base report attributes ~70% of the 2025 rally to AI names.
US-Japan tariff re-escalation	Low-Med	Not covered in uploads
China slowdown	Medium	Not covered in uploads
Reform fatigue	Low	Not covered in uploads
Fiscal / rates tail	(Understated in base report)	⚠️ [Cabinet Office Projections, p.31]: a sustained +0.5%pt rise in long-term rates lifts the debt-to-GDP ratio "by about 3.2%pt in the final year of the projection period." A JGB-driven rate shock is a live channel into equity multiples. (inferred from [Cabinet Office Projections, p.31])

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10. Data Corrections Log (discrepancies found in the base report)

1. **CPI mislabelling (material).** Base report p.3 shows CPI of 3.2% (FY2024) and 3.1% (FY2025), attributed to the Cabinet Office. The Cabinet Office's actual CPI figures are [Cabinet Office Projections, p.34]: "CPI growth rate (3.0) (2.6) (1.9)". The base report's numbers instead match the GDP deflator row: "GDP deflator growth rate (3.2) (3.1)

(2.0)". **Likely cause: deflator taken as CPI (inferred).** FY2026 (1.9%) is correct in both.

2. **Unemployment FY2024 (minor).** Base report: 2.6%. Official: [Cabinet Office Projections, p.34]: 2.5%.
3. **"Entrenched above-target inflation" (framing).** Contradicted in tone by [BOJ Report, p.1], which has core CPI "at around 1.5 percent" recently and underlying inflation only reaching target-consistency "between the second half of fiscal 2026 and fiscal 2027."
4. **Unverifiable rows.** Exchange rate, current account, and private-investment growth in the base report's macro table cite a Cabinet Office document that was not uploaded; they could not be checked.

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11. Investment Strategy Implications (Region: Japan)

Everything in this section is interpretation and is marked accordingly. It is not investment advice; it is a framework built strictly from the documents above.

Strategy 1 — Rate-normalisation beneficiaries (highest documentary support). The verified facts: policy rate at ~1.0% with explicit guidance for further hikes [BOJ Report, p.2]; long-term rates projected at 2.1% in FY2026 and rising in the growth scenarios [Cabinet Office Projections, p.34]; a financial system judged "highly robust" [BOJ Report, p.2]. (inferred from these three sources: banks and insurers face a multi-year tailwind to margins and investment income with official confirmation of both the rate path and system stability. This is the thesis where the official documents and the base report agree most completely.)

Strategy 2 — Governance-reform SMID re-rating (base-report conviction, partially corroborated). The base report's highest-conviction idea is [Japan Equity Market Report, p.18]: "reform-aligned SMID stocks with PBR 0.7–1.2×, ROE trending toward 10%+" over a "12–18 month window." The ROE/PBR progress data is [Base report only], but the reform architecture (TSE segments, disclosure mandates) is institutional fact. (inferred: position sizing here should reflect that the earnings-improvement evidence comes from secondary sources, not the official documents.)

Strategy 3 — Wage-and-consumption reflation (proceed selectively). Verified: nominal wages ~3.2% and real wages ~+1% through FY2026 [Cabinet Office Projections, pp.6–7]. Counterweight: "weakness has been seen in household sentiment" [BOJ Report, p.1] and oil-driven price pressure ahead. (inferred: favour consumer names with pricing power over volume-dependent discretionary exposure until sentiment data turns.)

Strategy 4 — AI/semiconductor exposure via the ecosystem, not the binary bet. The state framework is confirmed [Cabinet Office Projections, p.34, Notes], but the BOJ flags global AI demand as an explicit risk [BOJ Report, p.1] and the base report itself calls

Rapidus "binary" [Japan Equity Market Report, p.11]. (inferred: the base report's own preferred route — materials, lithography and specialty-chemical adjacencies that earn through the investment phase "regardless of manufacturing outcome" [Japan Equity Market Report, p.11] — is the risk-controlled implementation.)

Strategy 5 — Scenario-linked position sizing using the Cabinet Office cases. The official projections diverge sharply after FY2026: real growth of ~0.5% and CPI ~1.1% in the past-trend case versus ~1.4–1.6% growth and 2.0% CPI in the new-economic-stage case [Cabinet Office Projections, p.34]. (inferred: the equity bull case implicitly assumes the higher-growth scenarios. Build the monitoring plan around the variables that separate the cases — wage growth, productivity/capex, and CPI holding near 2% — and cut cyclical exposure if data tracks the past-trend path.)

Monitoring checklist (consolidated):

- BOJ hike pace and any change to the "timing and pace" language [BOJ Report, p.2]
- Oil prices / Middle East developments — the BOJ's named top risk [BOJ Report, p.1]
- CPI ex-fresh-food versus the ~1.5% recent print and the above-2% forecast [BOJ Report, p.1]
- Shuntō 2027 outcome versus the ~3.2% projection [Cabinet Office Projections, p.6]
- 10-year JGB yield versus the 2.1% FY2026 projection [Cabinet Office Projections, p.34]
- JGB purchase taper execution: ~¥2T/month from April 2027 [BOJ Report, p.2]
- Foreign-flow persistence versus the ¥9.7T H1 2026 pace [Japan Equity Market Report, p.12; base report only]
- TOPIX EPS revisions versus the +14% FY2026 consensus [Japan Equity Market Report, p.15; base report only, data from Dec 2025]

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12. Source Register

Uploaded documents (primary for this version):

1. Japan Equity Market Research Report, July 2026 (Perplexity Computer) — base document; itself cites 33 external sources (Cabinet Office, BOJ, TSE/JPX, FSA, Daiwa AM, GMO, Amundi, BlackRock, NHK, Reuters, others; full list on pp.20–21 of that report).
2. Bank of Japan — Semiannual Report on Currency and Monetary Control, statement by Deputy Governor Ryozo Himino before the House of Representatives Committee on Financial Affairs, 19 June 2026.

3. Cabinet Office — Economic and Fiscal Projections for Medium to Long Term Analysis, 22 January 2026 (provisional translation).

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